

BEFORE THE
FEDERAL MARITIME COMMISSION

CHINA UNITED LINES, LTD.,

Complainant,

v.

Docket No. 25-04

AMAZON.COM SERVICES LLC,
AMAZON LOGISTICS INC.

and

BEIJING CENTURY JOYO COURIER SERVICE
CO., LTD.

Respondents.

**OPPOSITION TO RESPONDENTS' MOTION TO DISMISS THE AMENDED
COMPLAINT**

China United Lines Ltd. (“China United” or “Complainant”) by and through their undersigned counsel, respectfully submit this opposition to the Motion to Dismiss the Amended Complaint filed by Amazon.com Services LLC (“Amazon”), Amazon Logistics Inc. (“ALI”) and Beijing Century Joyo Courier Service Co. Ltd. dba Amazon Global Logistics (“BCJ”) (Amazon, ALI, and BCJ collectively “Respondents.”)

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I. Introduction

Complainant asks the Federal Maritime Commission ("Commission" or "FMC") to find that alleged actions of Respondents in refusing to pay an agreed amount of liquidated damages after prematurely terminating "for convenience" their two year April 7, 2022 ocean service contract (the "Service Contract") with China United, and subsequently seeking to re-terminate such previously-terminated contract "for cause" on a purely pretextual basis violated Sections 41102 and 41104 of the Shipping Act, and further constituted a "cancellation" of such Service Contract within the meaning of the Commission's regulations at 46 C.F.R. §530.10, requiring that the cargo previously carried under the Service Contract to be re-rated to China United's applicable tariff rates and charges.

After agreeing to a cargo shortfall payment to close out the Service Contract, Respondents reneged and issued a pretextual second "for cause" termination notice attempting to escape their obligation to pay for a massive unfulfilled minimum quantity commitment ("MQC"). The effect of Respondents' duplicitous actions was to render illusory the MQC obligation in the Service Contract. This unreasonable practice was contrary to the fundamental requirements of the Shipping Act regarding Service Contracts, and the Commission's Service Contract regulations.

Respondents assert that BCJ and ALI, as NVOCCs affiliates of Amazon, are not "common carriers" within the meaning of the prohibited acts at Sections 41102(c) and 41104(a) of the Shipping Act. China United has alleged that Respondents were all authorized to ship cargo based on being identified as affiliates of Amazon in the Service Contract. China United will show that the Service Contract provisions of the Shipping Act specifically distinguish between beneficial cargo owner ("BCO") shippers and NVOCCs for purposes of the Act, and that Sections 41102(c) and 41104(a) neither expressly nor implicitly carve out NVOCCs from the term "common carrier" as used therein.

Respondents contend that the Amended Complaint only raises breach of contract claims for termination which may not be adjudicated in a Shipping Act complaint proceeding. The Amended Complaint alleges acts by Respondents that constitute violations of the Shipping Act and Commission regulations, and are not mere restatements of China United's claims for breach of contract pending in federal court and arbitration. Most importantly, the Amended Complaint pleads a "cancellation" of the Service Contract specifically within the meaning of the Commission's regulations, which is a different concept than "termination" of such contract in accordance with its terms. In this proceeding, China United seeks the remedy of re-rating of cargo actually carried under the Service Contract, which the Commission's regulations expressly mandate, and for which no contract remedy is available.

Respondents also attack the sufficiency of China United's alleged violations of Sections 41102(a) and (c) and 41104(a) of the Act, arguing in turn that (i) the Respondents' alleged actions do not fall within the "false billing, false classification, false weighing or false report of weight or false measurement" language in those section, (ii) the Amended Complaint does not sufficiently allege a continuing pattern of behavior by Respondents constituting a "practice" as required for a violation of Section 41102(c), and (iii) the Amended Complaint does not sufficiently allege violations of Section 41102(c) related to "receiving, handling, sorting or delivering property." China United shows below that in each instance, applicable Commission precedents and other authorities confirm that the actions of Respondents as pleaded in the Amended Complaint fit within the meanings of these sections of the Shipping Act, as interpreted by the Commission and courts.

Respondents finally argue that Count V of the Complaint fails to state a claim because it only alleges violations of a Commission regulation or if it does allege a Shipping Act violation,

there was no “cancellation” of the Service Contract within the meaning of Section 530.10. Respondents’ first contention fails because Section 41107(a) of the Shipping Act expressly states that where a respondent has violated the prohibited acts sections of the Act “or a regulation or order of the Federal Maritime Commission,” the Commission is empowered to award economic relief to the aggrieved complainant. Respondents’ arguments that their actions do not constitute a “cancellation” requiring re-rating under Section 530.10 are based upon comments regarding an “Interim Final Rule” that preceded Section 530.10, but the wording of the actual final regulation does not support Respondents’ syllogism. Moreover, and in any event, whether the Respondents’ alleged misconduct in seeking to avoid liquidated damages for not meeting the MQC under the Service Contract constituted a “cancellation” under the Commission’s regulations is a highly fact-intensive subject involving substantial evidence and essential discovery before adjudication.

Respondents’ Motion to Dismiss should be denied in its entirety.

II. Factual Allegations from The Amended Complaint

In April 2022, China United, acting through its affiliate C.U. Lines Ltd.¹, and Amazon entered into agreements for China United to provide transportation services, including ocean transportation, to Amazon and its affiliates. The terms of these agreements were set forth in several documents, including the Amazon Global Logistics Main Transportation Agreement (“MTA”) dated April 7, 2022, the Work Order dated April 29, 2022 (the “Work Order”), which was later amended without affecting the relevant terms (together, the MTA and Work Order, as amended,

¹ China United Lines Ltd. conducted business in the United States through its wholly-owned subsidiary C.U. Lines Ltd. (“CUL”). Am. Compl. ¶2. China United published base rates and additional charges for 20 foot and 40 foot equivalent container units (“TEUs” and “FEUs.”) through the Shanghai Shipping Exchange. China United’s subsidiary, CUL, published an additional ocean tariff through a tariff publisher, www.tariffdatasystems.com which was listed on the Commission’s website. Am. Compl. ¶ 11. For the purposes of this Opposition Memorandum, China United and CUL hereafter will collectively be referred to as “China United.”

the “Service Contract”), and a Nondisclosure Agreement (“NDA”) dated March 29, 2022, which is incorporated by reference in the Service Contract. Am. Compl. ¶13. (MTA, Work Order and NDA submitted by Respondents as “Confidential” Attachments A-C to the Motion to Dismiss). Respondents concede that they entered a Service Contract evidenced by these three primary documents the MTA, Work Order, and NDA. Motion to Dismiss pp. 4. Under the MTA, “Amazon” is identified as a party, defined as: “(1) ‘Amazon’ means Amazon.com Services LLC or any of its affiliates that receive Services.” Motion to Dismiss, Attachment A pp. 2. The Work Order at Section 4(6) identifies Respondents BCJ and ALI as affiliates that “tender cargo as non-vessel operating common carriers.” Motion to Dismiss, Attachment C pp. 37.

The Service Contract had an initial two (2) year term commencing on April 7, 2022. The Service Contract defined the applicable shipping periods as “Contract Year 1,” running from May 1, 2022 to April 30, 2023, and “Contract Year 2,” running from May 1, 2023 through April 30, 2024. Am. Compl. 14.¶

Under the Service Contract, Amazon could tender cargo “either directly or through its agents or suppliers, as a beneficial cargo owner (“BCO”) or non-vessel operating common carrier (“NVOCC”).” Am. Compl. ¶ 17. For purposes of the Service Contract, Amazon functioned as a shipper in U.S. foreign commerce by ocean and is considered a “person” subject to the Shipping Act. Am. Compl. ¶ 17. Similarly, under the Service Contract, Respondents ALI and BCJ were within the contract’s definition of “Amazon” as a contracting party, and listed as “affiliates” authorized to receive transportation services as NVOCCs regulated by and registered with the Commission under 46 C.F.R. §§ 515 and 530. Am. Compl. ¶ 17.

The Service Contract provided for certain ports, base rates, charges and other price terms, service commitments, and minimum quantity commitments, to be valid from May 1, 2022 to April

30, 2024, and other terms and conditions therein and incorporated by reference from the MTA and NDA. Am. Compl. ¶ 20. The MTA allowed either party to terminate the MTA or a Work Order for “convenience,” i.e., without cause, with 90 days prior written notice. Am. Compl. ¶ 22. The MTA provided that upon termination, each party would continue to owe any amounts accrued under the contract through termination. Am. Compl. ¶ 22. If Amazon terminated the Service Contract for convenience, the Service Contract outlines the calculation of damages owed to China United, including the “Early Termination Tender Shortfall” at China United’s election, and the “Tender Shortfall Liquidated Damages” based on the containers booked by Amazon relative to China United’s capacity commitment. Am. Compl. ¶ 22.

The MTA also provided for immediate termination for cause in the event of violation of certain representations, warranties, and covenants, and in the event of violation of Section 7 of the MTA (Confidentiality). Am. Compl. ¶ 22. The Work Order further stated that if Amazon terminated “for cause,” Amazon’s MQC would be deleted and Amazon would owe no amounts for liquidated damages for bookings shortfalls. Am. Compl. ¶ 23. This “for cause” termination provision, as used by Amazon, would allow Amazon to exit the Service Contract without paying liability for liquidated damages or fulfilling its MQC, both mandatory terms for a service contract under the jurisdiction of the Commission. 46 C.F.R. §§530.3(q) and 530.8(b)(4).

Following the entry of the Service Contract, Respondents began booking shipments with China United from China to U.S. West Coast ports. Am. Compl. ¶ 24. China United’s vessels carried a large number of Respondents’ containers under the Service Contract during the period from service commencement in April 2022 through March 2023. Am. Compl. ¶ 24. China United’s business records indicate Century Distribution Systems (Shenzen) Ltd., an entity not a party to or affiliate designated in the Service Contract, shipped 16,376 FEUs and 1,101 TEUs

consigned to Amazon; and the NVOCC affiliate BCJ shipped 7,979 FEUs and 44 TEUs consigned to ALI. *See* Declaration of Jane Wang dated April 16, 2025 at ¶4, attached as Appendix No. 1 (“Wang Declaration”).

On April 1, 2023, some thirteen (13) months before the end of the Service Contract term, Amazon provided written notice to China United that it was electing to terminate the Service Contract early for “convenience” and without cause, stating the termination would be “effective as of May 30, 2023.” Am. Compl. ¶ 25. Amazon’s termination for convenience triggered Amazon’s obligation to pay China United liquidated damages under the Service Contract. Am. Compl. ¶ 26; Motion to Dismiss pp. 5-6.. The liquidated damages were owed for the difference between the FEUs actually booked by Amazon from contract inception through such termination date of May 30, 2023, and the full FEUs of Amazon’s MQC for each of Contract Years 1 and 2, through April 30, 2024, subject to certain specific adjustments. Am. Compl. ¶ 26

In accordance with the Service Contract, on April 26, 2023, the parties engaged in discussions for conclusion and an effective date of termination, including calculating the liquidated damages amount owed to China United to resolve the cargo shortfall under the MQC. On that same day, Amazon emailed China United its calculations of the amount owed to China United for the shortfall in cargo under the Service Contract, which Amazon stated to be \$31,560,000. Am. Compl. ¶ 27

After the Service Contract was validly terminated by Amazon for convenience, “effective as of May 30, 2023” per Amazon’s written notice, and was no longer in effect, Amazon sought to revise the termination to “for cause” as a pretextual means or device to avoid paying the agreed MQC shortfall liquidated damages. Am. Compl. ¶ 30. On June 7, 2023, Amazon emailed China United that it was issuing a “notice of termination” for cause and it would not pay the previously

agreed liquidated damages to China United. Am. Compl. ¶ 31. In its June 7, 2023 notice, Amazon for the first time claimed that China United had violated Section 7 of the MTA (Confidentiality), which refers to China United’s “unauthorized use and disclosure of Confidential Information” because China United had posted material on the Chinese social network WeChat disclosing that China United was carrying cargo for Amazon. Am. Compl. ¶ 32

Amazon itself had published an extensive WeChat post on July 4, 2022 describing its contractual relationship with China United. Am. Compl. ¶ 33. Amazon’s July 4 WeChat post identified China United as Amazon’s “business partner” and further discussed the parties’ commercial relationship in detail, including pricing and shipment schedules. Amazon also provided information about its China United carrier relationship to the shipping trade press, leading to publication of articles in July 2022 containing this same information. Amazon made additional similar WeChat posts on August 9 and December 9, 2022.² Am. Compl. ¶ 34.

All of China United’s posts of which Amazon complained were published after Amazon’s own July 4, 2022 WeChat post. Am. Compl. ¶ 35. China United’s posts do not reveal any confidential information, as defined in the NDA and Service Contract. Due to Amazon’s own July 4, August 9, and December 9, 2022 public disclosures through WeChat posts and press contacts, all such information had lawfully entered the public domain and was no longer “Confidential” within the meaning of the NDA or Service Contract. Am. Compl. ¶ 35.

China United’s WeChat posts appeared in mid-2022, well before the termination of the Service Contract, and during the period when Respondents were continuing to book cargo with China United, taking advantage of China United’s discounted Service Contract rates and charges.

²See <https://mp.weixin.qq.com/s/OTFRbD8YyjkIAZLSjfJeQw>;
<https://mp.weixin.qq.com/s/hxYPvj85hR4ZfAkt11QLNA>.

Amazon did not claim that China United's posts violated Section 7 of the MTA until after Amazon booked all its shipments at Service Contract rates, the Service Contract had already been effectively terminated by Amazon itself for Amazon's convenience, without cause, and Amazon had agreed to pay China United's invoice of \$31,560,000 toward a settlement of the estimated amount due for liquidated damages. Am. Compl. ¶ 37.

III. Motion to Dismiss Standard

The Commission applies the pleading standards set forth by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). See *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority Of New York And New Jersey*, 1 F.M.C.2d 29, 30-31 (ALJ 2018). The Commission will recognize that the Amended Complaint on its face does indeed allege factual matters that, accepted as true, "state a claim to relief that is plausible on its face." See *Twombly*, 550 U.S. at 570. "When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 556 U.S. at 679. The focus at this stage is not whether a complainant can prevail on its claim, but whether it has adequately pleaded the claim. *Negron v. USAA Casualty Ins. Co.*, No. 3:13-01020, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

Moreover, the Commission must address alleged violations of the Shipping Act, which are within its exclusive jurisdiction, and no common law remedy exists for such violations. See *PKDC, LLC v. CMA CGM S.A.*, Dkt. No. 24-21, 2024 WL 5229720 at *8-10 (ALJ Dec. 20, 2024). The Commission's obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, where related proceedings regarding those claims are underway, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Dkt No. 21-05, 2024 WL

95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006).

As the Commission has confirmed: “Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340 at *6 (FMC Aug. 28, 2014) (citations omitted). Complainant easily meets the pleading standard of *Iqbal* that the allegations should be sufficient to “state a claim to relief that is plausible on its face,” by describing in detail the conduct of Respondents in not fulfilling their MQC, and seeking to avoid liquidated damages under the Service Contract by issuing the pretextual “for cause” notice to terminate, after it had already agreed to pay liquidated damages, as a means to avoid payment of agreed liquidated damages and to obtain below tariff rates in violation of the Shipping Act and the Commission’s regulations.

IV. Amazon’s use of a pretextual “for cause” termination to avoid liquidated damages under the Service Contract was an unfair or unjust device or means to obtain below tariff discounted rates from China United

Respondents argue that they could not have violated 46 U.S.C § 41102(a) in Count I of the Complaint because they did not use any unjust or unfair device or means to obtain the lower rates that it enjoyed during year one of the two year Service Contract. Respondents claim that they terminated the contract according to its terms, which was open and known to the parties at all times. Respondents further contend that the Amended Complaint fails to allege any fraud or concealment in the termination of the contract that would trigger a violation of the statute. Respondents argue instead that China United’s alleged violations merely mention “pretextual” termination,” which Respondents argue is insufficient to meet the requirement for fraud and concealment necessary to constitute a violation. Motion to Dismiss pp. 10.

As set forth in the factual allegations of the Amended Complaint, Respondents used fraud and concealment to avoid payment of liquidated damages under the Service Contract. Am. Compl. ¶¶ 27-37, 40-46. Amazon induced Complainant to enter into a Service Contract at discount rates based on a false representation that they would fulfill the MQC or pay liquidated damages. The Service Contract on its face met the Commission’s regulatory requirement of including an MQC and a provision for liquidated damages. These required terms under the Service Contract entitled Respondents to obtain those discounted rates and charges from China United. Respondents’ deceptive conduct was to use the pretextual “for cause” termination as a fraudulent means or device to delete the MQC and avoid liquidated damages, after reaping the benefits of discounted contract rates and charges during the first year of the Service Contract. Respondents asserted “for cause” termination was an unjust means or device to obtain below tariff discounted rates from China United. Am. Compl. ¶¶ 22-37, 41-43. Additionally, Respondents’ continued to ship cargo at heavily discounted Service contract rates and charges for almost a year after the allegedly offending August 2022 WeChat post on which Respondents based their subsequent attempted termination for cause. This deception deprived China United of its bargain, i.e., providing discounted rates and charges with the contractual expectation that Respondents would pay shortfall liquidated damages if Respondents terminated early and did not tender the full MQC.

This cause of action involves essentially three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Muhammad Rana v. Michelle Franklin D.B.A. “The Right Move,” Inc.*, Dkt. No. 19-03, 2022 WL 1744905 (FMC May 25, 2022). “[F]raud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means . . . It is

such fraud or concealment that in fact makes the practice unjust or unfair.” *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984) (citations omitted). Additionally the fraudulent, false, or concealed device must be the means through which the lower rates are obtained. *Id.* at 1065.

Respondents mistakenly focus only on concealment as making a device unjust or unfair, and conveniently disregard cases which hold that *fraudulent* devices or means used to obtain lower rates are equally as violative of 46 U.S.C. § 41102(a). Motion to Dismiss pp. 9. Respondents’ argument that the Service Contract was “open and known to both parties at all times” and that Amazon “made its position known and clear to CUL in negotiations between the parties” is irrelevant (and by the way a false contention of fact). This argument mischaracterizes the nature of the violative conduct. Complainants have sufficiently pleaded that the actions taken by Respondents with respect to termination “for cause” of the Service Contract were *fraudulent* devices used to obtain lower than applicable rates in violation of 46 U.S.C. § 41102(a). Am. Compl. ¶ 37, 42-46.

FMC precedent has held that repeated misrepresentations used to induce a carrier to enter into a service contract and to subsequently avoid paying charges owing under that service contract is a knowing and willful use of an unfair or unjust device or means violative of 46 U.S.C. § 41102(a). *Muhammad Rana*,, 2022 WL 1744905 at *9-14 (holding that repeated misrepresentations as to the failing status of the NVOCC upon making the booking, false claims to repayment if the shipper paid the cargo hold claims themselves, false claims that the NVOCC would pay the outstanding claims itself, and misrepresentations blaming a third party for the nonpayment were all unjust and unfair devices used to obtain lower rates). In *Muhammad Rana v. Michelle Franklin D.B.A. “The Right Move,” Inc.*, the FMC held that merely misrepresenting

based on a good faith belief that the NVOCC would be able to fully perform under the contract alone would not be sufficient; but when “considered as part of a series of actions directed at concealing or misleading Complainant with misinformation” that was sufficient to constitute a knowing and willful use of a fraudulent device. *Id.* at *13.

Similarly here, Respondents not only fraudulently induced Complainants to enter into the contract by misrepresenting their intentions to fulfill MQC commitments or to pay liquidated damages, but also deceptively continued to obtain transportation services from Complainant at less than applicable rates under that false representation for nearly a year, resorting to their pretextual termination only once market rates fell below the Service Contract rates. Am. Compl. at ¶ 37. Despite the availability to Respondents’ of alleged grounds for a termination “for cause” as early as August 2022, Respondents deliberately withheld this information and continued to use the Service Contract until it was no longer advantageous for them. Respondents then terminated for convenience, agreed to a value for liquidated damages, and assured Complainants that invoices would be paid for the liquidated damages, including sending documents and hosting calls to explain the payment process. Am. Compl. ¶ 27-30.

FMC precedent has also held that fraudulent assertions of entitlement to a rebate when in fact the party knew that they were not entitled to such a rebate was a fraudulent means by which an entity obtained lower rates in violation of 46 U.S.C. § 41102(a). *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963) (making “a claim that it knew or should have known to be false... is similar in nature to ‘false billing,’ ‘false classification,’ etc. and under well-known principles of statutory interpretation may properly be considered to come within the comprehensive final phrase ‘any other unjust or unfair device or means,’”). Similar to the *Hohenberg Bros. Co. v. FMC* case, Respondents here knowingly utilized a contrived “for cause” termination to avoid liability for

liquidated damages because the MQC had not been met. Respondents knew or should have known about the publicly available WeChat posts, or more likely deliberately chose to ignore them, as long as the Service Contract rates were advantageous, and only resorted to the pretextual termination once cheaper market rates became available. Am. Compl. ¶ 35. Respondents used this pretext in an attempt to evade their obligations to pay liquidated damages owing under the Service Contract, thereby obtaining lower than applicable rates. Am. Compl. ¶ 37.

Respondents did in fact obtain lower rates by manipulating these well-pleaded fraudulent devices. By misrepresenting their intention to carry out the duties of fulfilling of the MQC or alternatively paying liquidated damages for the cargo shortfall, Respondents falsely asserted entitlement to the discounted rates and charges under the Service Contract.

V. The Commission has Jurisdiction for Counts II-IV Because BJC and ALI Were Designated as NVOCCs, and acted as NVOCCs to obtain services at less than Market Rates and Charges without payment of Liquidated damages to China United.

Respondents assert that the Commission lacks jurisdiction over Complainant's claims in Counts II-IV of the Amended Complaint because they contend (with no support or reference) that their designated NVOCC affiliates were acting as shippers, not common carriers, when exercising their rights under the Service Contract. Respondents rely heavily on the FMC definition of an NVOCC; namely that "an NVO is 'a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.' 46 C.F.R. § 515.2(m)(1) (emphasis added)" Motion to Dismiss pp. 12.

Complainant has sufficiently pleaded, and maintains here, that the BJC and ALI affiliates were common carriers. The Amazon NVOCCs were acting as NVOCCs with respect to the specific shipments transported under the subject Service Contract. Am. Compl. ¶ 4, 5, 7, 16, 17. Amazon certified in the Service Contract that both BJC and ALI were NVOCCs and were

authorized to purchase transportation services under the Service Contract. The Service Contract clearly contemplated that BCJ and ALI would then carry out their regulatory responsibly as carriers delivering the goods to the other Respondents as consignees. As NVOCCs, the Amazon affiliates are common carrier regulated entities subject to jurisdiction of the Commission for Counts II-IV of the Amended Complaint.

Counts II-IV have a jurisdictional threshold whereby the offending conduct must have been committed by a regulated entity.³ Respondents do not dispute that both ALI and BCJ are registered NVOCCs and both are regulated entities within the meaning of all three statutes, nor could they. The statutes themselves, as well as longstanding FMC precedent, permit suit against NVOCCs as regulated entities. *Marine Transport Logistics, Inc. v. CMA-CGM LLC*, Dkt. No. 18-07, 2019 WL 5206007 (ALJ Oct. 8, 2019) (“Section 41104(a) governs operations by common carriers, including NVOCCs”).

Respondents’ reliance on a general entity definition ignores longstanding Commission precedent that carrier status is to be determined on a case-by-case basis and is a fact intensive inquiry into a totality of the circumstances. *Marie Carew D/B/A Holiday Shipping v. Maersk Line A/S*, Dkt. No. 20-17, 2021 WL 5195751 (ALJ Nov. 2, 2021). The Commission Regulations governing Service Contracts shed light on these issues as they relate to the subject Service Contract, and the capacities in which the BCJ and ALI enjoyed its benefits. 46 C.F.R. § 530.6 requires a contracting party to a Service Contract to certify “its shipper status (e.g., owner of the cargo, shippers' association, NVOCC, or specified other designation), and the status of every

³ 46 U.S.C. § 41102(c) (“A **common carrier, marine terminal operator, or ocean transportation intermediary** may not...”) (emphasis added); 46 U.S.C. § 41104(a) (“A **common carrier**, either alone or in conjunction with any other person, directly or indirectly, shall not...”) (emphasis added).

affiliate of such contract party or member of a shippers' association entitled to receive service under the contract.” This regulation was enacted to enable the Commission to properly monitor and track the filed Service Contracts and to ensure their compliance with the Shipping Act. Bonding of Non-Vessel Operating Common Carriers, Dkt. No. 91-1, 56 Fed. Reg. 51987-01 (Oct. 17, 1991). In enacting this regulation, the Commission was particularly concerned that NVOCCs would receive the benefits of service contracts in their capacity as NVOCCs without maintaining the proper tariff and financial responsibility requirements under 46 U.S.C. § 40501-40502 and 46 U.S.C. § 40901-40904.

Numerous provisions in the Service Contract distinguish between entities acting as a BCO or an NVOCC. The Service Contract repeatedly and consistently differentiates between Amazon or its affiliates exercising their rights under the Service Contract in their capacity as BCOs and exercising those same rights in their capacity as NVOCCs. Motion to Dismiss, Attachment A pp. 17, Section 2(a); Motion to Dismiss, Attachment C pp. 34 Section 6(a)-(c); Motion to Dismiss, Attachment C pp. 44 Section 4; Motion to Dismiss, Attachment C pp. 49 Section 9.

It is true that when Complainant issued Bills of Lading pursuant to this Service Contract, those Bills would designate the entity shipping cargo with Complainant as the “Shipper” regardless of whether it was a BCO or an NVOCC. This is because, as was clarified by Respondent’s arguments, an NVOCC is a shipper in their relationship with an ocean carrier. But under the definition of a Service Contract, a contracting party and/or shipper of cargo must in each instance, be either a BCO or an NVOCC (or a shipper’s association). 46 C.F.R. § 530.3(q). More importantly, the Commission’s regulations definition of a “Shipper” eligible to enter a service contract at 46 C.F.R. § 530.3(r) states that a “Shipper” must be either a BCO or an NVOCC. It is unlawful for a vessel operating common carrier to accept a booking from an entity acting as a

shipping intermediary rather than a BCO unless that entity is a licensed NVOCC. 46 U.S.C. § 41104(a)(11) and 46 C.F.R. § 530.6. Accordingly, if an entity seeking to enter a service contract or ship under one is not a BCO, then it must be a licensed NVOCC, which is defined as a common carrier that takes responsibility for carriage. 46 U.S.C. § 40102(2)(17).

Given the foregoing, it is clear that the Service Contract statutes and regulations distinguish substantially between BCO “Shippers,” which are not common carriers, and NVOCCs, which must be common carriers for the overall transaction contemplated by the Service Contract. An NVOCC is essentially a reseller of the vessel operating common carrier’s capacity; to be legally eligible to do that, and participate in a Service Contract, the NVOCC has to be a common carrier with an active tariff as defined in the Shipping Act. Sections 41102 and 41104, which define the prohibited acts at issue in this matter, just state that the violator must be a “common carrier” without carving out NVOCCs. Respondents Motion to Dismiss does not controvert that point, and does not preclude jurisdiction for the Shipping Act violations alleged in Counts II-IV.

Respondents also point out that a party may be a regulated entity for one purpose but not for another, and that the Commission’s jurisdiction attaches only to the activities of that person acting in its regulated capacity. Motion to Dismiss pp. 13. Respondent cites to *Auction Block Co. v. City of Homer*, in support of this. Dkt. No. 12-03, 2014 WL 5316337 (FMC Aug. 12, 2014). However, nowhere in that case does it support the notion that an entity registered or licensed as an NVOCC with the FMC, filing NVOCC tariffs with the FMC, certifying its role as an NVOCC in the specific Service Contract at issue, and actively shipping goods in its capacity as an NVOCC under that contract, should nonetheless be treated as a mere unregulated BCO-type shipper. In any event, the caselaw actually underscores that this jurisdictional question is precisely the type of issue that should be resolved (if in dispute) after the parties have had the opportunity to fully

develop the record through discovery. The status of the NVOCCs is a factual issue which can only be determined after discovery and based on a full record of the collaborative actions of Amazon and its subsidiary NVOCC affiliates under the Service Contract.

Respondents assert that the Amazon's affiliates listed in the Work Order are "not party to any of the three agreements." However, the language of the Service Contract and the arrangements made thereunder indicate that Amazon and its affiliates were operating under a common enterprise whereby Amazon's unreasonable actions were taken in concert with the Amazon affiliates, who received the financial benefits of those unreasonable actions. In any event, the MTA defines "Amazon" (the contracting party) as follows: "(1) 'Amazon' means Amazon.com Services LLC or any of its affiliates that receive services." Attachment A, Main Transportation Agreement, Section 1(1).

It appears that all entities falling within this all-encompassing definition are commonly owned and controlled, a fact that would be the subject of extensive discovery should the Presiding Officer permit this proceeding to move forward. As alleged in the Complaint, all three Respondents participated in shipments made under the Service Contract. BCJ, which does business under the trade name "Amazon Global Logistics" as shown on the Commission's published list of licensed and registered NVOCCs,⁴ was the NVOCC carrier and ALI was the named consignee on a substantial portion of the shipments made. *See* Wang Declaration at ¶4. The actual title of the MTA was "Amazon Global Logistics Main Transportation Agreement." The Work Order "is entered into and made part of the MTA between Amazon and China United Lines Ltd." Motion to Dismiss, Attachment C pp. 33. The Work Order at paragraph (4)(6)(c) designates NVOCC status for BCJ and ALI as "affiliates." Motion to Dismiss, Attachment C pp. 37. ■■■

⁴ <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti>

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Thus

the transactions contemplated under the Service Contract required the Respondent NVOCCs to act in their NVOCC carrier capacity for benefit of the other Respondents as consignees. Finally, the BCJ and ALI affiliates financially benefitted from the evasion of liquidated damages payments and MQC requirements under the Service Contract when the contract was terminated “for cause” because they were permitted to access the lower than otherwise applicable Service Contract rates.

Taken together, the provisions of the Service Contract indicate that the actions taken thereunder were done in concert between Amazon and its affiliates, or at the very least those actions were taken on behalf of, and for the economic benefit of the two Commission regulated affiliates. Considering the full implications of Respondents' attempts to separate Amazon from its NVOCC affiliates, it appears that any regulated entity could potentially reap significant financial benefits from clearly unreasonable behavior that violates the Shipping Act, simply by having one of its unregulated corporate affiliates sign the Service Contract or the termination notice.

If Respondents wish to contest their liability as a regulated entity, a Motion to Dismiss under these facts is not a suitable opportunity to do so. Carrier status has long been recognized by the FMC as a case-by-case analysis. *Marie Carew*, 2021 WL 5195751 at *11. The Commission has emphasized that this is a “fact intensive inquiry.” *CMI Distribution, Inc. v. Service by Air*, Dkt. No. 17-05, 2021 WL 3367603 (FMC July 26, 2021). The proper test to be applied to these complicated facts is a totality of the circumstances test. *Worldwide Relocations—Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Dkt. No. 06-01, 2012 FMC LEXIS

23 (FMC March 15, 2012). Though the Presiding Officer of course may consider the Commission’s jurisdiction to hear a dispute at any time, where the facts are inextricably intertwined with the merits of the case, the Presiding Officers have opted to proceed with discovery in the interest of presenting a fulsome record. *ICL USA, Inc. v. Dependable Highway Express*, Dkt. No. 24-04, 2024 WL 1236823 (ALJ March 15, 2024) (denying motion to dismiss on the grounds of jurisdiction to allow parties to conduct discovery into the issue); *Ocean Network Express PTE. Ltd. and ONE Express (North America) Inc.—Possible Violations of 46 U.S.C. 41102(c)*, Dkt. No. 21-17, 2022 WL 602648 (ALJ Feb. 23, 2022) (same). Accordingly, to the extent there is a question, the determination of jurisdiction based on the common carrier status of Amazon’s NVOCC affiliates is not suitable on a Motion to Dismiss.

VI. China United has stated a claim for each of the Counts in the Amended Complaint seeking relief under the Shipping Act and the Commission’s Regulations.

1. China United has Not Asserted Breach of Contract

Respondents wrongly assert that China United has advanced claims for breach of contract in the Amended Complaint. CUL’s contractual claims against Amazon are pending in other fora, namely the federal court in New York or the Shanghai International Arbitration Center (“SHIAC.”) However, the relief China United seeks in this action is to recover reparations for Shipping Act violations by Respondents exclusively within the purview of the Commission. Neither the federal court nor SHIAC has the authority to determine Shipping Act violations or to order a re-rating of the cargo shipped under the Service Contract. The Commission has exclusive jurisdiction to review Respondents’ conduct and to award a remedy under applicable regulations for the Respondents’ failure to fulfill the MQC or to settle liability for liquidated damages by filing a

mutually agreed amendment to the Service Contract.⁵ *Cargo One, Inc. v. COSCO Container Lines Co.*, Dkt. No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (“While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission's jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action”); *PKDC*, 2024 WL 5229720 at *7 (“The Commission *must* address alleged violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations”).

Respondents assert that the Amended Complaint “makes clear” that the dispute between China United and Amazon is over Amazon’s termination of the contract. Respondents also claim the Amended Complaint is “just an effort to dress up its contractual claims as alleged Shipping Act violations and serves no other purpose but to waste the Commission and the parties’ time and resources litigating a duplicative dispute.” Motion to Dismiss pp. 6. China United is not asking the Commission to get involved with contractual disputes relating to termination “for cause” or “for convenience,” nor is it asking the Commission to decide as to enforcement of the NDA. To the contrary, in this matter the Commission is only asked to determine whether Respondents’ conduct with respect to the Service Contract violated the Shipping Act and caused a regulatory “cancellation” of the Service Contract. *See PKDC*, 2024 WL 5229720 at *8 (emphasizing that Shipping Act claims are “distinct from breach of contract claims, entailing a different analysis of

⁵ *See* Declaration of Gary Kardian dated April 15, 2025, attached as Appendix No. 2 (Kardian Decl.) The Kardian Declaration and Wang Declaration are submitted in accordance with Commission regulation 46 C.F.R. Section 502.70 which allows “specific responses to any statements of material facts with exhibits as appropriate.”

statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant”).

2. China United Has Sufficiently Alleged that Amazon and its Affiliates BCJ and ALI Have Engaged in a Regular and Continuous Unreasonable Practice within the Meaning of 41102(c)

Respondents argue at Section C.1 of the Motion to Dismiss that the Amended Complaint fails to allege adequately that Respondents engaged in more than a single instance of activities violating Section 41102(c), which requires proof of multiple instances of similar behavior. They further contend that the Amended Complaint only alleges that the two NVOCC Respondents engaged in the alleged wrongful activities (as opposed to Amazon), or that the NVOCC Respondents are not alleged to enter contracts with ocean shippers with similar clauses, and accordingly that the Amended Complaint is too speculative. Motion to Dismiss pp. 17-18.

Respondents simply fail to read the Complaint correctly. The relevant allegations in the Complaint are at Paragraph 52, which reads:

“On information and belief, Respondents have engaged in similar actions, including use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments, such that Respondents’ pattern of activities at different times and with different counterparties, constitutes a “practice” as such has been defined by the Commission.”

The foregoing language clearly alleges that “Respondents,” meaning all three of them not just the two NVOCCs as falsely claimed in the Motion to Dismiss, “...have engaged in similar actions, including [but not limited to] use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment...and/or engaging in pretextual...” contract terminations wrongfully to avoid Respondents’ contract obligations to counterparties in the ocean shipping industry. It is hardly “speculative” or unreasonable for China United to suspect and allege that the three Respondents, including Amazon Logistics, Inc., widely reported to have been

the second largest logistics services company in North America at the time the Service Contract was entered (See Supply Chain Digital March 16, 2022 article at <https://supplychaindigital.com/logistics/ups-amazon-fedex-top-north-america-logistics-firms-chart>)⁶ and which entered the Service Contract in question with an MQC of tens of thousands of FEUs, would likewise be contracting with almost every other ocean carrier in the U.S. Transpacific and other major inbound trades. Nor is it speculative to conclude or allege that the Respondents would likely use very similar forms of ocean service contracts (including an illusory MQC) with multiple other ocean carriers, which alone would support a finding of a “practice” under Commission precedents, or that the Amazon companies, stressed by instability in ocean commerce driven by the COVID-19 crisis, would resort to extremely aggressive contract administration practices regarding service contracts and similar commercial ocean shipping arrangements, utilizing Amazon’s enormous bargaining power to avoid contractual minimum volume obligations.

Because ocean service contracts are kept confidential by the Commission, China United, which has the burden of proof on this issue, cannot readily obtain evidence of how widespread Respondents’ contracting practices of this nature are without discovery, which has yet to commence in this case. Even prior to discovery, since filing its Complaint, China United has identified a filed case alleging similar heavy-handed pretextual contract termination practices by Respondents. As shown by documents in the public docket in *GSC Logistics, Inc. v. Amazon.com Services, LLC and Amazon Logistics, Inc.*, filed in the Southern District of New York, Civil Action No.: 1:23-cv-05368-JGLC, two of the Respondents signed a four-year shipment

⁶ Also see *India Shipping News* article, April 29, 2021 reporting that Amazon’s NVOCCs (i.e., the two NVOCC Respondents) have grown to be among the ten largest global NVOCCs. <https://indiashippingnews.com/amazon-reshapes-transpacific-trade-flows/>

transloading services contract with the plaintiff in December 2020 at the Port of Long Beach which contained a large minimum volume commitment of 500 containers per week. This contract included a Master Transportation Agreement and Work Order very similar to those in the instant case, which are available in the SDNY docket. When stressed by financial conditions, the Amazon defendants, which had not met their substantial minimum volume commitment, terminated the transload contract in February 2023, pretextually citing alleged breaches by plaintiff for actions that were expressly excused under the contract, without giving the plaintiff a right to cure for which the contract expressly provided, and refused to pay contractually mandated “Early Withdrawal” payments. Respondents’ behavior in the GSC matter is virtually on all fours with the allegations in the Complaint. China United is aware of and will present evidence of one additional very similar matter involving Respondents’ pretextual early termination of an ocean logistics services and supply contract during the same time period that has, at least so far, not resulted in filing of suit.

If following discovery, Respondents have valid arguments that China United has not identified sufficient additional instances of similar behavior by Respondents constituting a “practice” as defined in Commission precedents, Respondents can move for summary disposition. For now, China United has properly, and in a non-speculative manner, pleaded facts to be proven sufficient to support a violation of Section 41102(c).

3. Section 41102(c) Applies to BCJ and ALI Because the Alleged Unreasonable Practices under the Service Contract are Sufficiently Related to “receiving, handling, storage or delivery of property.”

Respondents argue in their Motion to Dismiss that the allegations against BCJ and ALI in Count II fail to state a claim because the shipping practices alleged do not sufficiently relate to “the receiving, handling, storing or delivery of property.” 46 U.S.C. Section 41102(c); Motion to Dismiss pp. 18. The Amended Complaint alleges in detail the unreasonable practices against Amazon’s NVOCC affiliates BCJ and ALI with respect to cargo shipments under the Service

Contract. Am. Compl. ¶ 51. The Amended Complaint also alleges unreasonable practices with respect to “similar actions” (described above) involving the use of various forms of ocean service contract in U.S. trade lanes. Am. Compl. ¶ 52. Complainant asserts that these alleged unreasonable practices were sufficiently pleaded to involve receiving, handling and storage or delivery of property with respect to shipments and movements of cargo under the Service Contract within the meaning of Section 41102(c).

Respondent’s reliance on *J.M. Altieri v. Puerto Rico Ports Authority*, is misplaced. *J.M. Altieri* does not support Respondent’s contention that Section 41102 (c) “does not relate to the transportation of property.” Motion to Dismiss pp. 18. Instead, the decision in *J.M. Altieri* supports finding in favor of Commission review of Respondent’s shipping practices alleged to have occurred with this Service Contract because shipping practices like these alleged “were assigned to the special expertise of the Agency.” *J.M. Altieri*, 7 F.M.C. 416, 419 (ALJ 1962). Respondents’ violative conduct here falls within the FMC’s special expertise, because the pleadings allege conduct – specifically misrepresentations made during the negotiation and carrying out of a Commission regulated Service Contract to transport cargo – which directly relates to the transportation of property. Am. Compl. ¶ 51-52.

In fact, the FMC has expressed a willingness to read Section 41102(c) broadly to extend to those issues within the specialized Commission knowledge. Applying the logic from *J.M. Altieri* in *MSRF Inc. v. HMM Co. Ltd.*, ALJ Crovella concluded that space allocation of cargo pursuant to a Service Contract is “more accurately deemed a ‘shipping practice’ appropriately assigned to the ‘special expertise of the Agency.’” Dkt. No. 22-20, 7 F.M.C.2d 85 (ALJ November 22, 2023).

In another recent decision, *PKDC, LLC v. CMA CGM S.A.*, the Presiding Officer rejected CMA’s argument that Section 41102(c) only applies to terminal and forwarding services and not

to the transportation of cargo. 2024 WL 5229720. The Order explained that this argument is “contrary to the broad, plain language of 41102(c).” *Id.* at *10. The Order went on to cite to “abundant Commission case law contradict[ing] the argument that section 41102(c) only applies to services performed at the terminal and to terminal forwarding operations.” *Id.* at *11. Ultimately, the Presiding Officer found that “[t]he complaint alleges that CMA failed to receive, handle, store, or deliver more than half of the minimum quantity commitment that it committed to in the parties’ 2021-22 service contract. Complaint at 2-4. Accepting the allegations in the complaint as true, the complaint is sufficient to plausibly allege that the conduct at issue impacts the receiving, handling, storing, or delivering of property.” *Id.* at *12.

In view of the allegations in the Amended Complaint setting forth an unreasonable shipping practice with respect to a Service Contract, and the broad manner in which Section 41102(c) extends to include shipping practices related to transportation of cargo (such as those alleged against Respondents under the Service Contract), China United contends Count II properly pleads a Shipping Act violation under Section 41102(c) within the purview of the Commission.

VII. China United has stated a claim in Count V for violation of Commission Regulations which are Shipping Act violations.

Respondents argue that Complainants’ Count V does not state a claim because it does not allege a violation of the Shipping Act, and because the Commission’s regulation, which Complainant alleges Respondents violated, 46 C.F.R. §530.10, is not applicable. Motion to Dismiss pp. 22-24. Count V is an alternative pleading regarding the same wrongful acts of Respondents alleged in Counts I through IV to have violated Sections 41102 and 41104 of the Shipping Act. Under the Shipping Act, 46 U.S. Code §41107, which is also a part of Chapter 411:

- (a) In General -- A person that violates this part or a regulation or order of the Federal Maritime Commission issued under this part is liable to the United States Government for a civil penalty or, in addition to or in lieu of a civil penalty, is liable for the refund of a charge. * * *

Accordingly, if Respondents violated the Commission's regulation at 46 C.F.R. §530.10, such regulatory violation itself constitutes a violation for which the Shipping Act, and Section 41107 expressly authorizes the Commission to grant relief in the form of a "refund of a charge" to the affected jurisdictional party. Thus the pleading of Count V is sufficiently alleges a Shipping Act violation with the jurisdiction of the Commission.

Respondents next argue that the regulation is not applicable because the "cancellation" was "anticipated" by the Service Contract, or if the regulation does apply, the remedy should be payment of liquidated damages under the Service Contract rather than re-rating specified by the regulation⁷. Neither of these contentions change the facts alleged in the Amended Complaint which call for a cancellation of the Service Contract pursuant to the actual wording of the regulation. The regulation, 46 C.F.R. §530.10, addresses instances in which a service contract "cancellation" has occurred. The regulation's definition of "cancellation" at §530.10(a)(3) states:

Cancellation means an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.

The regulation further provides at §530.10(e) that:

(1) An account may be adjusted for events and damages covered by the service contract. This shall include adjustment necessitated by either liability for liquidated damages appearing in the service contract as filed with the Commission under § 530.8(b)(7), or the occurrence of an event described below in paragraph (d)(2)(8) of this section.

(2) In the event of cancellation as defined in § 530.10(a)(3):

(i) Further or continued implementation of the service contract is prohibited;

⁷ Complainant submits the Kardian Decl. in response to Respondents' contention that the Commission regulation on "cancellation" of the Service Contract is not applicable.

⁸ There is actually no "paragraph (d)(2)" in the regulation. This is clearly a reference to paragraph (e)(2), and is treated as such by the Commission, as Complainant will show in this proceeding.

and

(ii) The cargo previously carried under the contract shall be re-rated according to the otherwise applicable tariff provisions.

Complainant has alleged that under the circumstances set forth in the Amended Complaint, the actions of Respondents constitute a “cancellation,” and accordingly, under Section 530.10(e)(2)(ii), the cargo previously carried by Complainants for Respondents prior to the “cancellation” must be re-rated to the applicable effective tariff terms and charges at the time of carriage. Complainants have alleged, and are prepared to show with evidence in the proceeding that the re-rating of cargo carried prior to the “cancellation” to tariff terms would increase the rates and charges by an amount of \$96,419,259.

Whether actions of Respondents alleged in the Amended Complaint constituted a “cancellation” as defined in the Commission’s regulations is a fact-intensive issue that cannot appropriately be resolved on a motion to dismiss. *See supra pp.* 17-18. Respondents argue that because the Service Contract included provisions regarding termination “for convenience” or “for cause,” the events that occurred were “anticipated” and do not fit the “cancellation” definition. Virtually all service contracts have provisions covering termination, and under Respondents’ suggested reading, there could never possibly be a “cancellation” pursuant to the regulation. It also is not “anticipated” that a two year term contract would be abruptly terminated after one year on a pretextual basis to avoid liquidated damages. The substantive issue is whether the “event” which occurred was anticipated by the parties, not just the mere outcome of termination. Here, Respondents first notified Complainants that the Service Contract would be terminated “for convenience,” without cause, effective as of May 30, 2023, at which time Respondents had not shipped the full MQC. Following this notice, Respondents negotiated a payment for the liquidated damages arising from the shortfall of Respondents’ cargo bookings below the MQC. Am. Compl.

¶ 41. If Respondents would have followed through with this payment, the parties could have entered an amendment of the Service Contract (i.e., an “account adjustment” as mentioned in the regulation) and filed it with the Commission as required by regulations at 46 C.F.R. §530.10(b), and that would have been the end of the matter. Kardian Decl. at ¶9. There would have been no “cancellation.” *See* Kardian Declaration at ¶9.

Respondents never made this payment. Even though the Service Contract had already been effectively terminated for convenience as of May 30, 2023 and Respondents had agreed to pay an agreed liquidated damages amount, Respondents refused to make the agreed payment of liquidated damages, and gave a second fraudulent notice purporting to terminate the already-terminated Service Contract “for cause” to avoid the already agreed liquidated damages. This second termination notice was purported to be based upon Complainants’ reposting of Respondents’ own “WeChat” social media posts, which reposting occurred in August 2022, almost an entire year prior to the attempted re-termination “for cause,” after Respondents had already shipped an enormous volume of cargo under the Service Contract, realizing a savings against tariff rates and charges of some \$96 million. Am. Compl. ¶¶ 42-48 and 60-66.

Complainants allege in Counts I through IV that Respondents’ shipped massive cargo volume between mid-2022 and May 2023, in order to save \$96 million in shipping costs which would have been due to China United in the absence of the Service Contract. The use of public non-confidential “WeChat” reposts as a basis to terminate “for cause” was patently false, pretextual, deceptive and constituted a fraud and abuse of the form of contract. Respondents used this false notice as a device or means to negate the MQC, and to obtain transportation services at below applicable rates from China United. None of this conduct by Respondents was “anticipated” by the express terms of the Service Contract.

Finally in this regard, Respondents allege that even if there was a “cancellation,” under an “Interim Final Rule” version of the regulation, Part 530.10(e) would only call for payment of the liquidated damages as a “fall-back rate provision,” rather than a re-rating of cargo shipped under the Service Contract. It appears that the quoted language from comments on the Interim Final Rule did not carry over to the actual text of the final regulations, which state that the alternative of payment of the liquidated damages only would occur if the service contract is not “cancelled.” However, under §530.10(e), if an event constituting cancellation occurs, then the contract terms may not be further performed and re-rating must occur.

Respondents also submit that no contract amendment was required to be filed because they carried out the Service Contract as anticipated. But as explained above, Complainants have alleged after Respondents’ termination for convenience occurred, the parties agreed to a settlement amount for liquidated damages without the full MQC having been tendered, which would have required a mutually agreed amendment. Am. Compl. ¶¶ 41-42; Kardian Decl. at ¶2. Complainants further allege that Respondents’ effort to terminate “for cause” was in violation of the Shipping Act for various other reasons set forth in Counts I-V. In any case, Respondent’s contentions on this point, at best, only raise factual disputes which are inappropriate for resolving on the basis of a motion to dismiss. Complainants have adequately pleaded claims under Count V for which relief should be granted by the Commission.

VIII. Conclusion

Based on the foregoing, the Commission should deny the Motion to Dismiss the amended complaint and proceed to adjudicate the Shipping Act violations .

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant requests that Respondents’ Motion to Dismiss the Amended Complaint be denied in its entirety.

Dated: April 17, 2025

Respectfully submitted,

By: /s/ Vincent J. Foley

Vincent J. Foley
HOLLAND & KNIGHT LLP
31 W. 52nd Street
New York, NY 10019
vincent.foley@hklaw.com
Attorneys for Complainant China
United Lines Ltd.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 17th day of April 2025, a true and correct copy of the foregoing Motion for Extension of Time to File Responsive Pleading was served via email on:

K&L Gates LLP

Michael F. Scanlon

John Longstreth

Christiana K. Goff

K&L GATES LLP

1601 K Street, N.W.

Washington, DC 20006

(202) 778-9000

(202) 778-9100 (fax)

michael.scanlon@klgates.com

john.longstreth@klgates.com

christi.goff@klgates.com

Counsel for Respondents

/s/ Ashleigh Higgs